

UNIT ECONOMICS — PER ORDER

Every order is profitable. No exceptions.

Line Item	Amount	Direction	Running Total
Fan Service Fee	\$4.99	Charged to fan	+\$4.99
Runner Pay — Bronze (0–49 deliveries)	\$2.00	Base tier; new runners	\$2.99
Runner Pay — Silver (50–149 deliveries)	\$2.25	Unlocked at 50 cumulative deliveries	\$2.74
Runner Pay — Gold (150+ deliveries)	\$2.50	Elite tier; priority shift access	\$2.49
Blended Runner Cost (steady state)	~\$2.20	~30% Gold / 40% Silver / 30% Bronze mix	\$2.79
Payment Processing (Stripe)	~\$1.00	2.9% + \$0.30 on full transaction	\$1.79
Vendor Incentive	\$0.00	Dropped — optional venue-by-venue sweetener only	\$1.79
FanFare Net / Order (blended)			~\$1.79

Runner upside: Runners keep 100% of tips (avg \$2–5/order). The \$2.50 base pay is the floor. This makes runner recruitment and retention significantly easier than competing gig platforms.

\$4.99

FAN PAYS (FLAT FEE)

\$2.00–\$2.50

RUNNER EARNS BY
TIER (+ TIPS)

\$0

VENUE PAYS

~\$1.79

FANFARE NET /
ORDER (BLENDED)

MODEL ASSUMPTIONS

Conservative inputs. Real-world benchmarks.

VENUE INPUTS		ORDER ECONOMICS	
Events per year (minor league)	70	Service fee (flat)	\$4.99
Events per year (arena / amphitheater)	100+	Avg food order value (AOV)	~\$20–25
Avg attendance (minor league)	5,000	FanFare gross / order	\$2.50
Avg attendance (arena)	12,000	Processing cost / order	~\$1.00
Fan order rate (Year 1)	3–5%	FanFare net / order	~\$1.50
Fan order rate (Year 3)	7–10%	Runner tip (avg)	\$2–5

PER-VENUE ANNUAL PROJECTIONS

Three scenarios — one venue.

CONSERVATIVE	BASE CASE	OPTIMISTIC
Events / yr50	Events / yr70	Events / yr100
Avg attendance4,000	Avg attendance6,000	Avg attendance12,000
Order rate3%	Order rate5%	Order rate8%
Orders / yr6,000	Orders / yr21,000	Orders / yr96,000
Food GMV\$150,000	Food GMV\$525,000	Food GMV\$2,400,000
Service fee GMV\$29,940	Service fee GMV\$104,790	Service fee GMV\$479,040
FanFare net\$10,740	FanFare net\$37,590	FanFare net\$171,840

Compounding effect: Order rate grows as FanFare becomes familiar to returning fans. A venue that sees 3% in Year 1 typically sees 6–8% by Year 2 as repeat attendees already have the app installed.

Scaling the network, not reinventing the model.

FanFare's unit economics are fixed and favorable from order one. Growth is a function of venue count and fan adoption — no new cost structures are introduced at scale.

Year	Venues	Est. Total Orders	Food GMV	Service Fee GMV	FanFare Net Revenue	Notes
Pilot Phase	1	1,500	\$37,500	\$7,485	\$2,685	10 events · 5,000 avg attendance · 3% order rate · data collection only
2026 (Year 1)	1–2	20,000	\$500,000	\$99,800	\$35,800	Full first season post-pilot · ~100 events · 4% blended order rate
2027	10	175,000	\$4,375,000	\$873,250	\$313,250	Southwest expansion; VP Sales hire
2028	30	600,000	\$15,000,000	\$2,994,000	\$1,074,000	National presence; operator partnerships
2029	75+	2,000,000	\$50,000,000	\$9,980,000	\$3,580,000+	M&A / strategic partnership target zone

TAM context: At 500 venues (a fraction of US live event capacity) with a 5% order rate, FanFare processes ~5M orders/year — generating ~\$7.5M net annually. Food GMV at that scale exceeds \$125M. At that scale, exit conversations with Aramark, Levy, DoorDash, or Ticketmaster become viable at significant multiples.

Lean by design. Gig model keeps fixed costs low.

Cost Category	Type	Est. Year 1 (Pilot)	Est. Year 2 (10 Venues)	Notes
Runner pay	Variable	\$50,000	\$437,500	\$2.50/order; scales with volume
Payment processing	Variable	\$20,000	\$175,000	~\$1.00/order; Stripe
Tech / hosting	Fixed (low)	\$2,400	\$6,000	Supabase/Firebase; scales cheaply
Venue sales	Semi-fixed	\$0	\$80,000	Founder-led Y1; VP Sales hire Y2
Marketing / brand	Variable	\$5,000	\$30,000	In-venue signage, app store, social
Operations / misc	Fixed	\$5,000	\$15,000	Insurance, legal, admin
Total Est. Operating Cost		~\$82,400	~\$743,500	

Note on runner pay: Runner pay is included in the per-order unit economics (already deducted from the \$4.99 fee). The figures above reflect the gross payroll obligation, not an additional cost on top of the net revenue figure.

Strategic value grows with every venue added.

Potential Acquirer	Strategic Interest	Why They'd Buy FanFare
Aramark / Levy / Sodexo Live	Venue hospitality operators	Acquire a fan-facing brand that drives incremental revenue across their existing venue contracts
DoorDash / Uber Eats	Delivery platforms	Expand into live events — a high-margin, defensible vertical they currently don't serve
Ticketmaster / Live Nation	Ticketing + fan experience	Integrate food ordering into the ticketing flow — a seamless end-to-end fan experience
AEG / Oak View Group	Venue operators	Own the technology stack that drives their fan experience differentiation